it is not as simple as it appears as a long-term goal would be a medium-term goal at a later point, which will eventually turn to a short-term goal.

This is a representative set of funds (See: Bucketful of Funds) that are suitable based on investment time frame, but there are many more funds that one could choose from to meet the bucketed investment strategy. This is a useful approach to start even as one develops a more elaborate investment approach wherein the choice of funds are more adapted to the life stage one is in with overlaps in funds across stages. The other way to choose funds is based on what the fund's categorisation looks like and how it fits into your life stage.

You first need to realise that the view towards investing changes at each stage in life because of the many factors that influence our investment decisions (See: Factors influencing investments). The decision to invest in a particular fund may also be influenced based on one's risk appetite. For instance, even though at a young age, one should explore high equity allocation in their investments, chances are the lack of investing experience may put one to invest in a hybrid fund to begin with.

Bucketful of Funds

	What to look for	Suitable funds
SHORT-TERM BUCKET (less than 3 years)	Funds in which investments are made as per the time horizon/maturity, returns is not the primary driver, but stability and liquidity matters.	Liquid Funds, Ultra-short duration Funds and Money Market Funds.
MEDIUM-TERM BUCKET (3 to 5 years)	Investment opportunity for growth with comparatively lower volatility.	Conservative Hybrid Funds, Equity Savings Funds and Balanced Advantage Funds.
LONG-TERM BUCKET (7 years and more)	Investing for retirement, long-term wealth creation and significant growth in value of investments.	Large Cap / Mid Cap & Small Cap Funds, Aggressive Hybrid Funds, Flexi Cap Funds and Solution-Oriented Funds for Retirement & Children.

The ELSS or Tax Savings fund could come handy for medium and long-term buckets for its dual benefits of tax saving under Section 80C as well as wealth creation.

Young and single

You have just started to earn and irrespective of the tax slab you fall under, a scheme that you could consider for investment is the ELSS (equity linked savings scheme). These are open-ended equity mutual fund that invests primarily in equities and equity-related products. They are a special category among mutual funds that qualify for tax deductions under Section 80C of the Income Tax Act, 1961 up to Rs 1.5 lakh every financial year. The investment has a three year lock-in, which is one of the shortest among several other savings and investment instruments that qualify for tax savings.

Funds to explore

ELSS, Hybrid, Balanced Advantage, Long-term equity schemes such as Large-cap, Mid-cap, Flexicap, Small cap etc

You could also consider making a start with a hybrid fund, because you are new to investing. These funds invest in more than one asset class; equity, debt, and others like gold to diversify the portfolio with an aim to reduce volatility and provide better risk-adjusted returns. The objective of a good asset allocation plan is to develop an investment portfolio that will help you reach your financial objectives with the degree of risk you find comfortable. The goal of asset allocation is to optimise investment risk and returns.

The conservative hybrid funds category is also suitable for first time investors, as they are unsure of investing and may not be open to taking risks with their investments. These funds invest 75% to 90% of their total assets in debt instruments, and the rest 10% to 25% in equity. It is because of this higher allocation to debt that they are categorised as conservative hybrid funds.

For long-term investment horizon, you can consider investing in flexicap

Factors Influencing Investments



Age: When you are young, you may be capable of taking more risks because you may have fewer responsibilities compared to later stages in life.



Income: *How much you earn in a month will decide how much you could invest and for how long?*



Savings: It is not enough to start earning; you also need to save money. Having a budget helps to set aside money to save and invest.



Market Trends: *Investments are mostly affected by market trends, which one should be aware of.*